

1. Liquidity Analysis

- Current Ratio trending and alerts

Current Ratio = Current Assets / Current Liabilities

- 04/30/2024: $1,314,465,308.33 / 1,129,984,168.41 = 1.16$
- 05/31/2024: $1,048,099,415.52 / 910,113,204.75 = 1.15$
- Q2-2024: $2,362,564,723.85 / 2,040,097,373.16 = 1.16$

Insight: The current ratio has remained relatively stable around 1.15-1.16 across periods, indicating adequate short-term liquidity. No immediate alerts, though it's close to the minimum acceptable threshold of 1.

- Quick Ratio / Acid Test trending

Quick Ratio = (Current Assets - Closing Stock) / Current Liabilities

- 04/30/2024: $(1,314,465,308.33 - 565,752,931.60) / 1,129,984,168.41 = 0.66$
- 05/31/2024: $(1,048,099,415.52 - 540,343,306.63) / 910,113,204.75 = 0.56$
- Q2-2024: $(2,362,564,723.85 - 1,106,096,238.23) / 2,040,097,373.16 = 0.62$

Insight: Quick ratios are below 1 (0.56-0.66), indicating reliance on inventory to meet short-term obligations. The May drop to 0.56 warrants monitoring.

- Working Capital adequacy analysis

Working Capital = Current Assets - Current Liabilities

- 04/30/2024: $1,314,465,308.33 - 1,129,984,168.41 = 184,481,139.92$
- 05/31/2024: $1,048,099,415.52 - 910,113,204.75 = 137,986,210.77$
- Q2-2024: $2,362,564,723.85 - 2,040,097,373.16 = 322,467,350.69$

Insight: Positive working capital across all periods, though May shows a decrease. Adequate for routine operations, but the decline should be investigated.

- Cash position and runway analysis

Cash and Bank Balances:

- 04/30/2024: 219,630,140.50
- 05/31/2024: 217,143,682.86
- Q2-2024: 436,773,823.36

Insight: Cash reserves are stable month-over-month. Runway analysis requires operating expense

data (unavailable), but cash covers ~24% of current liabilities in May, indicating moderate liquidity buffer.

- Net Working Capital changes and drivers

Change in Working Capital (April to May): $137,986,210.77 - 184,481,139.92 = -46,494,929.15$

Drivers: Decrease primarily due to reduction in Accounts Receivable (501,902,887.08 to 261,552,637.73) and Closing Stock (565,752,931.60 to 540,343,306.63), partially offset by lower Current Liabilities.

- Liquidity coverage ratio

Liquidity Coverage Ratio = $(\text{Cash} + \text{Marketable Securities}) / \text{Current Liabilities}$

- 04/30/2024: $219,630,140.50 / 1,129,984,168.41 = 0.19$
- 05/31/2024: $217,143,682.86 / 910,113,204.75 = 0.24$

Insight: Ratio improved to 0.24 in May due to lower liabilities, but still indicates limited immediate liquidity without selling assets.

- Cash conversion efficiency

Data unavailable (requires cash flow from operations data).

2. Leverage & Solvency Analysis

- Debt-to-Equity ratio trending

Debt-to-Equity = $\text{Total Liabilities} / \text{Total Equity}$

- 04/30/2024: $1,648,154,985.84 / 197,390,845.42 = 8.35$
- 05/31/2024: $1,375,785,890.96 / 201,265,389.74 = 6.84$
- Q2-2024: $3,023,940,876.80 / 398,656,235.16 = 7.59$

Insight: High leverage (6.84-8.35), though improving in May. Indicates significant reliance on debt financing.

- Debt-to-Capital ratio analysis

Debt-to-Capital = $\text{Total Debt} / (\text{Total Debt} + \text{Total Equity})$

Total Debt = Secured + Unsecured Borrowings (Long-term + Short-term)

- 04/30/2024: $(411,966,783.94 + 106,204,033.49 + 0) / (518,170,817.43 + 197,390,845.42) =$

0.72

- 05/31/2024: $(359,612,195.72 + 106,060,490.49 + 0) / (465,672,686.21 + 201,265,389.74) = 0.70$

Insight: High debt-to-capital ratios (0.70-0.72), consistent with high leverage.

- Total Debt composition (secured vs unsecured)

- 04/30/2024: Secured: 411,966,783.94 (79.5%), Unsecured: 106,204,033.49 (20.5%)
- 05/31/2024: Secured: 359,612,195.72 (77.2%), Unsecured: 106,060,490.49 (22.8%)

Insight: Debt is predominantly secured, reducing refinancing risk but increasing asset encumbrance.

- Debt maturity profile

Data unavailable (detailed maturity schedule not provided).

- Interest coverage ratio

Data unavailable (interest expense data not provided).

- Debt service coverage ratio

Data unavailable (requires EBITDA and debt service payments).

- Fixed charge coverage ratio

Data unavailable (requires fixed charges data).

- Solvency stress testing

Data unavailable (requires scenario-based projections).

3. Asset Efficiency Analysis

- Asset Turnover ratios (total, fixed, current)

Data unavailable (requires revenue data).

- Fixed Asset utilization trends

Fixed Assets:

- 04/30/2024: 396,417,259.28

- 05/31/2024: 394,288,601.53
- Q2-2024: 790,705,860.81

Insight: Minimal change month-over-month, suggesting stable asset base. Utilization cannot be assessed without output metrics.

- Asset age & depreciation analysis

Data unavailable (detailed asset age and depreciation data not provided).

- Capital intensity metrics

Data unavailable (requires revenue or output data).

- Asset productivity per rupee invested

Data unavailable (requires revenue or output data).

- Non-current vs current asset mix

- 04/30/2024: Non-current: 531,080,522.93 (28.8%), Current: 1,314,465,308.33 (71.2%)
- 05/31/2024: Non-current: 528,951,865.18 (33.5%), Current: 1,048,099,415.52 (66.5%)

Insight: Shift towards higher non-current assets in May, potentially indicating longer-term investments.

- Asset quality indicators

No significant red flags observed. Suspense account shows minimal negative balances, and deferred tax assets are recognized.

4. Capital Structure Analysis

- Equity composition and changes

- 04/30/2024: Equity Share Capital: 117,591,396.55, Current Year Profit: 79,799,448.87
- 05/31/2024: Equity Share Capital: 116,348,728.43, Reserve & Surplus: 79,799,448.87, Current Year Profit: 5,117,212.44

Insight: Equity share capital decreased slightly, while reserves were reclassified. Current year profit added in May.

- Reserves & Surplus movements

Reserve & Surplus: 0 in April, 79,799,448.87 in May (transferred from Current Year Profit).

- Retained earnings patterns

Retained Earnings = Reserve & Surplus + Current Year Profit

- 04/30/2024: $0 + 79,799,448.87 = 79,799,448.87$
- 05/31/2024: $79,799,448.87 + 5,117,212.44 = 84,916,661.31$

Insight: Retained earnings growing, indicating profit retention.

- Capital adequacy metrics

Data unavailable (industry-specific capital adequacy norms not provided).

- Optimal capital structure comparison

Data unavailable (requires cost of capital and peer comparison).

- Cost of capital analysis

Data unavailable (requires debt and equity cost data).

5. Balance Sheet Quality Metrics

- Asset-to-Liability ratios

Asset-to-Liability = Total Assets / Total Liabilities

- 04/30/2024: $1,845,545,831.26 / 1,648,154,985.84 = 1.12$
- 05/31/2024: $1,577,051,280.70 / 1,375,785,890.96 = 1.15$

Insight: Ratio >1 indicates assets exceed liabilities, providing a cushion.

- Equity multiplier

Equity Multiplier = Total Assets / Total Equity

- 04/30/2024: $1,845,545,831.26 / 197,390,845.42 = 9.35$
- 05/31/2024: $1,577,051,280.70 / 201,265,389.74 = 7.84$

Insight: High equity multiplier confirms significant financial leverage.

- Financial leverage index

Data unavailable (requires return on equity and assets data).

- Balance sheet strength score

Data unavailable (requires composite scoring model).

- Red flags identification (negative equity, excessive debt, etc.)

- **Excessive Debt:** High debt-to-equity ratios (>6) indicate elevated financial risk.
- **Negative Accounts Payable:** In May and Q2, accounts payable are negative (-59,139,890.46 and -20,330,380.43), which is unusual and may indicate prepayments or accounting errors.
- **High Leverage:** Consistent high leverage could strain cash flows during downturns.
- **No other major red flags** like negative equity or insufficient assets.